

- 1) Which of the following statements regarding the demand for labour is false?
- A) If a firm is a monopolist in the product market, the firm's demand for labour is the same as the industry's demand for labour.
 - B) If a firm is a monopolist in the product market, the firm's demand curve is more elastic than it would be if the firm were operating in a perfectly competitive product market.
 - C) If a firm is a monopolist in the product market, it may or may not pay wages which are higher than the case in which the firm operates in a competitive output market.
 - D) If a firm is a monopolist in the product market, it may still behave as a wage taker in the labour market.
 - E) If the firm is a monopolist in the product market, the firm's demand curve is steeper than it would be if the firm were operating in a perfectly competitive product market.

- 2) Competitive labour markets lead to all of the following conditions except:
- A) Wages are equalized across all labour markets.
 - B) The additional benefit that a worker receives equals to the additional cost of foregone leisure for the worker.
 - C) Labour market leads an efficient allocation of labour resources.
 - D) The marginal workers not receiving economic rents.
 - E) Market wage rate is determined when labour demand equals to the labour supply.

- 3) Which of the following statements is true? The burden of a payroll tax is paid:
- A) by workers if the supply of labour is perfectly elastic.
 - B) by workers if the demand for labour is perfectly inelastic.
 - C) by both workers and firms if the elasticities of demand and supply of labour are between zero and infinity.
 - D) by firms if they are legally responsible for remitting the tax to the government.
 - E) by workers if the taxes are withheld from their paychecks government.

- 4) If a firm operates in a perfectly competitive labour market, then:
- A) It must be a monopsonist
 - B) It faces an infinitely elastic supply of labour.
 - C) Its demand for labour must be inelastic
 - D) It must also operate in a perfectly competitive output market
 - E) the workers are unionized.

- 5) Within the theoretical framework of competitive labour markets, what is the expected effect of the minimum wage?
- A) to make the workers better off
 - B) to reduce employment below the level that would otherwise exist
 - C) to make the workers who are retained less productive than what would otherwise be the case
 - D) to shift the demand for low-skilled workers to the left (a fall)
 - E) to cause a shortage of workers at the going transactions wage

- 6) Which of the following statements regarding monopsony is false?
- A) A monopsonist is likely to face a fairly inelastic supply of labour.
 - B) A monopsonist faces no constraints as it sets wages.
 - C) A monopsonist is likely to lose some of its market power in the long run.
 - D) Monopsony is more likely in situations of unskilled labour.
 - E) Monopsony is more likely in situations of immobile labour.

- 7) What is the primary difference between a monopsonist and a firm which operates in a perfectly competitive labour market?
- A) The monopsonist is likely to be more profitable.
 - B) In order to recruit another worker, the monopsonist incurs a larger increase in labour costs.
 - C) In order to recruit another worker, the monopsonist incurs a smaller increase in labour costs.
 - D) The monopsonist hires such that the marginal revenue product of labour is equal to the marginal labour cost, but the non-monopsonist does not.
 - E) The labour supply curve is irrelevant for the monopsonist.

- 8) If the government sets a minimum wage for workers that is above the competitive wage,
- A) Wages would fall as firms try to reduce labour costs.
 - B) Unemployment would decrease through a dis-employment effect.
 - C) Unemployment would increase through a dis-employment effect.
 - D) The total wage bill must rise.
 - E) The total wage bill must fall.

Answer Key

- 1) B
- 2) A
- 3) C
- 4) B
- 5) B
- 6) B
- 7) B
- 8) C